TECH WORLD

Piers Buckworth · 2 May 2026

MACRO

Each day that ticks by with oil prices where they are we edge closer to it showing up in the data, that moment hasn't arrived yet but it sure is being reflected in central bank dissent as well as the front end of the curve and of course annualized core PCE expectations are up to 4.3%. Bond markets are showing signs that they are paying attention but still not showing any signs of panic. Equity markets remain seemingly in a state of total denial that there will be any pain. Cyclical and economically sensitive parts of the global equity market have pulled back and are chopping around waiting for their next macro cue so to a degree are paying attention but it's a long way from concern. Strong earnings are relatively benign data has helped this matter but its really the mega micro theme of AI capex that is propping up the entire market as well as offering a growth tailwind its so big. This part of the market is currently living on another planet, I would say a planet far from earth! I will dive into the stocks shortly but it needs to be highlighted just how extraordinary the current market environment is. We have all seen rules books thrown out and record books being re written all over the shop due to the 2nd phase of this tech industrial revolution we have on our hands but I haven't seen a situation quite like the current one. The icing on the cake is of course the rampant speculation and use of short dated options in all the most popular retail stocks which is having powerful and persistent implications for price action and levels. Pockets of the market are seeing speculation which draws similarities to 1999 albeit this requires close analysis and is by no means a black and white subject.

BIG TECH EARNINGS

Now that we have the much anticipated big tech earnings lets dive into them. It was a mixed bag and never has it been more obvious that MAG7 needs to be broken down into each company individually, they are most definitely pursuing different strategies and are being treated as such. This is not to mention that competition between them is heating up given the new in-house chips AMZN and Google in particular are producing. The one thing they all do have in common still however is the capex, AMZN/NVDA/GOOG/META/MSFT are all absolutely critical to the global stock market as their capex has quite literally become a macro pillar of it.

AAPL

Apple stands on its own outside of the AI capex narrative and quite frankly living in its own world as far as MAG7 goes. I say that because at this stage they are still a pure hardware company, surviving on legacy business and are yet to show us how they are going to join the AI party. As a hardware company they are clearly doing this differently to the others, they are apparently working on an all in one AI device that will bring AI to the palms of their 2.5bn customers, they admitted a while ago that they needed help with this as Siri and their AI efforts were falling behind the leaders. Since they enlisted the help of Anthropic we are yet to see it yield anything meaningful. Their conf call the other day was surprisingly light on AI content as they continue to double down on their hardware first narrative, somehow they managed to raise their sales guide for phones and devices to 17% for the coming quarter, this was miles ahead of the 9% expected. Given that the stock has been in the sin bin vs the group its got an advantage right here, the relative underweight vs its hot and in some cases overbought MAG7 peers means the stock has a good chance of breaking out. The defensive qualities of AAPL also make it an attractive option when this market has its overdue and inevitable rotation out of the exuberant names. I rarely like AAPL as they have failed to innovate and grow to the top line, but they are masters of profitability and are without doubt one of (if not the) highest quality company on earth. Being long here makes sense but watch the ATH test closely. It tried and failed on Friday.

GOOG

This was without doubt the standout among big tech, the stock made new all time highs after earnings in spectacular fashion marking the largest market cap move in a single day by any company in history. They are the only name among the big capex spending hyperscalers who have managed to raise capex and show ROI as well. Only a year ago the stock was stuck in no mans land and questions were being aske about their search business being disrupted by LLM bots. Since then its been a near perfect run of news and fortunes for the company. Not only have they put to bed concerns over search but they are dominating AI via the integration of their in house technologies across their ecosystems as well as making significant inroads via their TPU, (Tensor Processing Unit) for running AI platforms in-house as well as for external customers. Meta hiring them was a coup and was the first real sign that NVDA have real competition on the scene. Google ads / search / YouTube all contributed to 22% growth in the quarter and their guide was raised. The final piece of this puzzle is their cloud business, this is dwarfed by AMW and Azure in size but they are growing faster than both of them, Google cloud grew at 14% in the Q vs AWS +4% and Azure +1%. The only issue Google have in my view is they are by far the most consensus long in the professional community for mega-cap tech and are no longer the ‘cheap’ way of playing it. The valuation is far from out of control but on 29x forward they are no longer as attractive as they were. The 22% growth clip needs to be taken into consideration of course so that price tag is justified but I think there are better and cheaper opportunities elsewhere in the market.

AMZN

Amazon is a tricky one, notoriously expensive stock that refuses to go down, with 14% growth and 31x forward P/E multiple they are significantly more expensive than Google. This is one of the nuances of the market though, the premium has always been happily paid for this stock. AWS is no longer the massive growth engine it was and in fact growth had failed to just 17% 2 quarters ago. This has recovered impressively to 28% but still trails Azure at 40% by some margin. AWS is clearly the profit center of the business as it accounts for over 65% of their earnings. The future for AMZN will hinge on their ability to pivot to and dominate growth markets and in this department they are aggressively pursuing the in-house chip business (similar to Google with their TPU). Amazon have a custom (AI accelerator) chip called the Trainium and a custom CPU called Graviton which are both starting to gain traction. These chips are set to compete directly with NVDA, INTC and AMD. Given the move in AMZN stock over the last 3 weeks it really doesn’t fill me with excitement unless it has a meaningful pullback, same can be said for many tech stocks on my screen! Note their investments continue to yield massive results, Anthropic banked them 16bn in profit last Q.

MSFT

This defines the nuance and idiosyncratic nature of these MAG7 names. Microsoft are undergoing a number of headwinds albeit battling them well. As the only software name among MAG7 they have an overhang the others do not. Software has been under attack by the market for months now, thus far in the absence of ANY real evidence that AI is disrupting them. They didn’t even mention AI disruption on the call which says just about as much as we need to hear! The good news for them was their engine room, Azure, grew at 40% (above expectations) and they beat on both lines. Guidance was a little soft but the stock was green after the prints. This didn’t last long as Mythos news on Thursday got in the way. It was reported that Mythos had identified potential security flaws in MSFT’s software. The bottom line for MSFT is they are unloved and relatively cheap on 24x with 16% revenue growth, as long as Azure holds up and there is no real evidence of AI disruption there is a solid case for this stock to recover. The major overhangs remain general sentiment towards software and their lack of clear progress in their AI business, co-pilot is solid but hardly shooting the lights out. MSFT for the time being seem to have stepped away from aggressively pursuing an AI strategy. I like a number of beaten up software names including MSFT but it comes with a health warning re AI disruption fears.

META

Meta vs Google post earnings fortunes make the disparity abundantly clear as well. META have had a number of moments over the last 5 years when the market becomes disenchanted with their strategy and punished them for seemingly reckless spending. This is one of those moments. Zuckerberg is an aggressive guy who has made it his M.O to spend aggressively in pursuit of dominance in next gen tech markets, ROI is yet to be seen however as the money pit that is Reality Labs rings in the ears of investors. Their massive capex raise last Wednesday was met with selling once again as the market wants to see the path to profitability (as Google have done). I find it difficult to like META until they show us this but I am mindful of the massive profit engine that is their ads business and no doubt the stock will find support again soon on the basis of value if nothing else.

REST OF MAG7

NVDA

This stock has made ATHs along with the AI picks and shovels semi complex despite the obvious and mounting concerns over their ability to maintain this blistering growth rate in the face of growing competition and approaching peak in capex. I find it impossible to recommend this stock up here and think we are very close to peak earnings for them. If I had a gun to my head I would short them as a trade given they rode the semi and capex coattails back to ATHs. Shorting NVDA isn’t a particularly clever thing to do in general and I have my focus on other semis in this department anyway. For me NVDA is a neutral / nothing to see here stock at these levels.

TSLA

This name belongs in its own group, a group with one stock! Never has it been more obvious that they are not a car company, despite a surprisingly strong Q in their EV business last Q their top and bottom lines have been shrinking consistently as have their all important margins, competition and brand issues are a problem that isn’t going away. Thankfully for TSLA investors its not about the car business, if it was the stock would be about 50% lower. Its ALL about energy storage, Optimus humanoid robots and of course Robotaxis. Energy / power business gets less attention but to bea clear is the one growing the fastest with the most revenue. The demand for power in this world is only going in one direction so this business has a lot of promise. It needs to grow a lot more though to justify a 1.5tr market cap for TSLA stock though. As for Robots and Robotaxis, we are some way from these being mainstream and according to Musk’s latest update chips and cameras are not there yet. TSLA is not a stock I ever touch because its binary, you either close your eyes and buy it believing in the robotics business or you try and short it because its so expensive, I choose to do neither.

SEMIS

- **MEMORY —** This is the epicenter of exuberance and euphoria in this market. Memory is undergoing an historic re rating as the need for DRAM and Hard Disk drives in the AI date center has burst onto the scene. Companies that have been historically plagued by cyclical discounts are exploding higher, Sandisk, Micron, Seagate, Western Digital, SK Hynix and Samsung are up between 300-1000% in the last year with their bottom lines following suit. Earnings reports last week showed 100% bottom line beats in places (Sandisk and Seagate stood out) but we have reached the stage of this game where at the VERY least they are grossly overbought, these stocks have been hovering around 75-85 RSIs for an uncomfortable amount of time and many of them have essentially become MEME stocks, the short dated call volume being driven by the retail world is off the charts forcing these stocks higher as these dealers deal with their gamma. It's a self fulfilling prophecy and yes its supported by extraordinary fundamental growth but it SCREAMS over heated and I am short this space here and now.

Sandisk (SNDK US) — daily candles with moving averages and volume.

- **SMH —** The entire SMH (up 18 of the last 20 days in a row) is over heated, its not just memory its all the picks and shovels, underperforming names like MRVL and INTC have joined the party in spectacular fashion. AMD is now up 65% in 3 weeks on no news whatsoever, their earnings on Tuesday will be very interesting. The way I see it this entire group have now priced in perfect scenarios (for the time being) and are vulnerable to near term pullbacks. Shorting SMH makes a lot of sense of me here.

- **INTEL —** needs a mention, this is trading on an RSI of 88 and has been for almost a week, they were the most hated large cap semi in the world only 12 months ago and have since reversed that sentiment with the stock up 500%. The new CEO is doing a great job of turning the CPU and foundry business around and their guidance was miles higher. We got news the other day the GOOG and AAPL are looking at using their EMIB foundry technology which was the icing on the cake. These reports are yet to be confirmed or even commented on by either AAPL or GOOG which is rather odd. Thee bottom line is that INTC are doing a great job of turning this ship around but they are still some way from turning a significant profit and are MASSIVELY overbought. I am short the stock.

- **QCOM —** also stands out, they were downgraded to sell 2 weeks ago at JP Morgan 65% lower then where they closed on Friday night, they have failed to show progress in the AI data center and their legacy smartphone and auto exposure has been a drag. They said on their call they have a new hyperscaler customer and the stock reversed the earnings selloff by 19%. We are yet to hear who this customer is but regardless its on 87 RSI and well over its skis.

SOFTWARE

I have written at length about this of late so no need to labor the point but the overhang that remains firmly sitting on this space is becoming hard to justify given we have now heard from all the major CEOs in the space on AI disruption and not one of them have expressed any concern. In fact they have made it clear that they work WITH AI (a layer in the ecosystem) not against it. TEAM on Thursday was telling, they have been battered into the prints so the 18% relief rally on Friday makes total sense. There are no many names in this group that look attractive to me so perhaps the best way to play this is by buying the ETF (IGV). That vs SMH right here looks very attractive.

iShares Expanded Tech-Software Sector ETF (IGV) vs VanEck Semiconductor ETF (SMH) — comparative total return.

OFF-PISTE TECH

FIBRE OPTICS & PHOTONICS

This micro sub sector of tech is without doubt one of the hottest parts of the market right now, most of these names are less know than the big boys but the tailwinds are massive. Fiber optics has been around for a long time but the world is shifting towards using light and ‘photons’ as opposed to electrons to transmit data as its faster and more efficient, photonics is yet to go fully commercial but the name that is making waves is ALMU with their announced partnership with Tower semi the other day, this stock is my highest conviction long idea in the small cap arena and has been for some time. They are up over 100% in the last month and broken to all time highs. This company is at the beginning of its life but the future is bright, they have hired a line of very senior industry veterans, most recently Dr Rachmady who spent 20 years at Intel. Currently their market cap reflects almost zero chance that they go commercial at only 400mn USD so this to me stands out at one of the most attractive opportunities in this space. The larger names like Coherent and Lumentum are already reflecting very optimistic outcomes and are very overheated. AAOI and ATVI (also in this stack) are also miles over their skis.